

Model Risk Management Policy

Document ID	POL-MRM-001	Type	Policy
Owner	Chief Risk Officer, Risk Management	Classification	L2 CONFIDENTIAL
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1. Purpose

This policy sets out Cortex Bank's requirements for Model Risk Management. It is owned by the Chief Risk Officer in Risk Management (RSK) and applies to all staff, contractors and subsidiaries.

2. Regulatory Basis

This policy implements the bank's obligations under EU AI Act (REG-EUAI); Basel III/IV (REG-BASEL).

- EU AI Act: Obligations for high-risk AI systems: risk management, data governance, human oversight, transparency and logging. Credit scoring and recruitment are high-risk uses.
- Basel III/IV: Minimum capital (CET1), leverage and liquidity (LCR, NSFR) requirements.

3. Policy Statements

- High-risk models require independent validation before first use and annually thereafter.

4. Key Controls

Compliance with this policy is achieved through the following controls:

Control	Name	Type	Frequency	Owner	Mitigates
CTL-AI-01	AI model inventory	Preventive	Continuous	ITC	RSK-MD
CTL-MR-01	Independent model validation	Detective	Annual	RSK	RSK-MD
CTL-AI-03	Bias and fairness testing	Detective	Annual	RSK	RSK-MD, RSK-CD

5. Risks Addressed

Conduct risk (RSK-CD), Model and AI risk (RSK-MD).

6. Implementing Procedures

This policy is implemented by: SOP-CRD-002, SOP-RSK-003, SOP-ITC-003.

Related Documents

SOP-CRD-002, SOP-RSK-003, SOP-ITC-003, REG-EUAI, REG-BASEL

Approval

Approved by	Date
Board Risk Committee	2025-09-01